



PRODUCTS AND SERVICES · BUSINESS PAYMENT CONSULTANT

Payment Operations Review

Understanding your current payment operations and opportunities for improvement.

Chain-Branded Hotel

Full-service · Downtown Detroit, Michigan · Franchise flag

Prepared by

Kobra™ — Business Payment Consultant

Review date: Summer 2026 · Anonymized sample

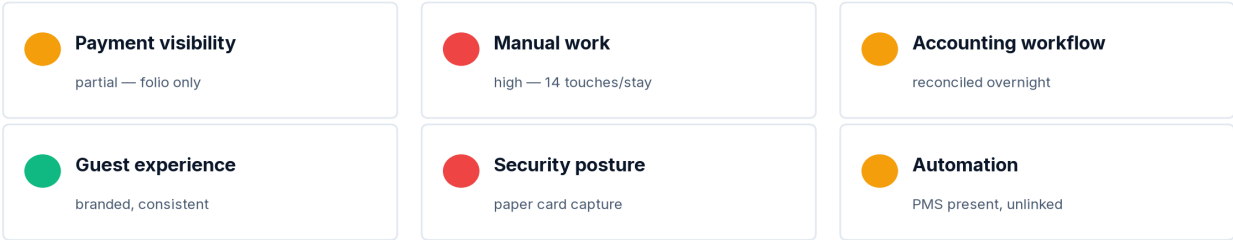
A working draft. Findings reflect what we observed and what you told us during this review. Not a proposal, quote, or binding recommendation.



At a Glance

Where the property stands today and where the operating gains are.

Operational Health



Operational Maturity



Property has strong operations discipline, but payments are 10 years behind.

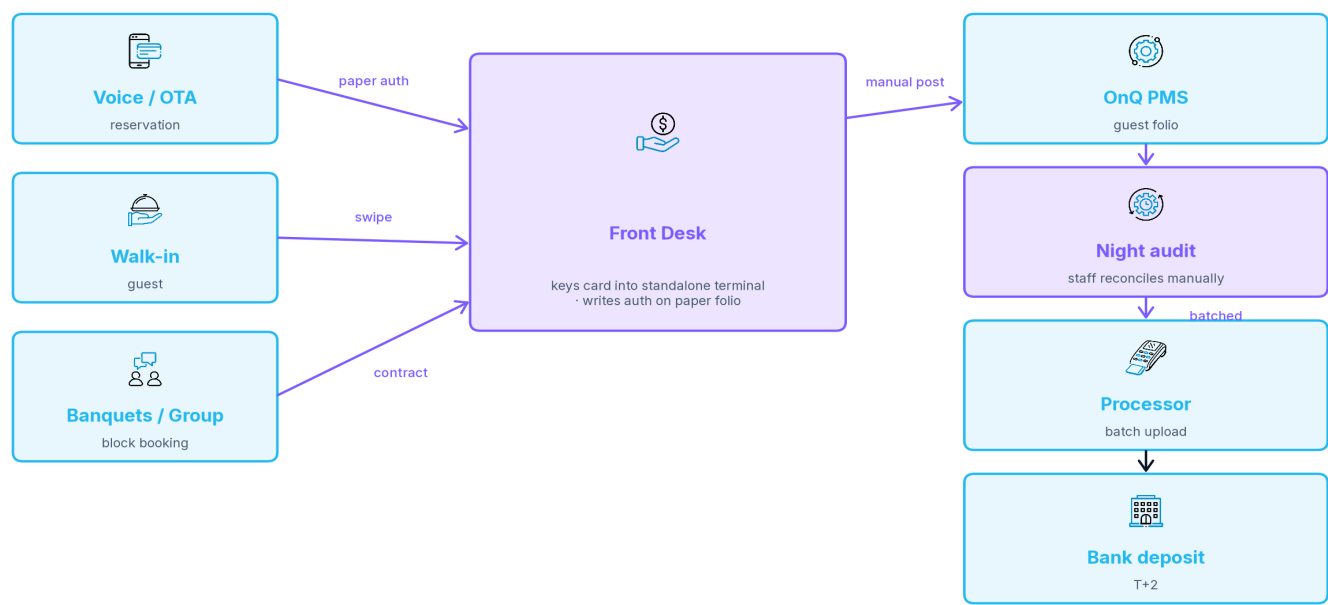
Top Recommendation

Move card-not-present reservations off paper. Then integrate the terminals with the property management system. Everything else follows from those two changes.



Your Payment Flow Today

Every card touches paper, a person, and a keyboard at least twice on the way to the bank.



Reading the diagram. Cyan boxes are systems and channels. Purple boxes and purple arrows are manual touchpoints — a person keys, writes, or reconciles at that step. The Front Desk and Night Audit boxes are purple because both are doing manual work that a modern payment stack does automatically. The property management system (OnQ) is cyan because it holds the folio, but the arrows in and out of it are purple — nothing is talking to it directly.



What We Found

Four observations with a simpler operational model for each. Each stands on its own.



Card-Not-Present — Manual

WHAT WE SAW

Voice and OTA reservations captured on a paper authorization form. Cards keyed into a standalone terminal by front-desk staff the same shift or the following morning. Paper stored under the front desk.

WHY IT MATTERS

- Card data lives on paper in the front-desk area, expanding PCI scope to every drawer
- Manually keyed cards require additional staff handling and generally cost more to process
- Disputed remote payments significantly more difficult to defend because guest was never securely authenticated
- Night audit spends 40+ minutes daily reconciling folios against terminal batches

A SIMPLER OPERATIONAL MODEL

Secure payment link sent to the guest before arrival. Guest enters card details on a hosted page — property never sees or handles the card. Card is authenticated at the moment of payment. No paper, no keying, no storage under the desk.

APPLIES TO YOUR BUSINESS CLEARLY

observed directly at front desk during review.



EMV — Not Integrated

WHAT WE SAW

Standalone EMV terminals at front desk and F&B outlets. Amounts keyed manually into the terminal after being read from the OnQ folio screen. Auth codes written on paper folios and re-entered into OnQ.

WHY IT MATTERS

- Amount-entry errors surface only during night audit, sometimes the next morning
- Duplicate charges and missed post-outs happen routinely and require staff time to unwind
- Group folios take 15+ minutes each to close because every line is keyed twice
- One overnight-labour equivalent goes into reconciliation that could be a review job

A SIMPLER OPERATIONAL MODEL

Integrated terminals pull the folio amount directly from the property management system, capture the payment, and post the auth back to the folio automatically. Night audit becomes a review, not a re-entry job.

APPLIES TO YOUR BUSINESS CLEARLY

terminal model and integration status verified on site.



What We Found — continued

Two more observations specific to the mix of channels and card types the property runs.



Chargeback Exposure — CNP

WHAT WE SAW

Roughly 35–40% of revenue arrives as card-not-present (advance deposits, group blocks, no-show fees, incidental holds). None of it is authenticated at the moment of booking.

WHY IT MATTERS

- Every remote-payment dispute currently lands on the property to defend
- Friendly-fraud and stolen-card disputes are near-impossible to win without cardholder authentication
- Group cancellation disputes routinely exceed \$5,000 apiece
- Staff time gathering signed contracts and correspondence to fight chargebacks adds up

A SIMPLER OPERATIONAL MODEL

Authenticating the cardholder at the moment of booking creates a clean audit trail and, for the vast majority of dispute reason codes, transfers the chargeback obligation from the property to the card issuer.

APPLIES TO YOUR BUSINESS **CLEARLY**

inferred from channel mix client shared.



Foreign Cards — No DCC

WHAT WE SAW

Meaningful international guest mix (client volunteered "roughly a quarter of stays" from US and overseas). Foreign cards are processed in CAD only, with no option offered to the guest to pay in their home currency at checkout.

WHY IT MATTERS

- Foreign guests see an unpredictable exchange rate on their statement days later
- Some brand-loyalty guests prefer to see charges in their billing currency at the moment of purchase
- No conversion choice is presented anywhere in the current guest checkout

A SIMPLER OPERATIONAL MODEL

Dynamic Currency Conversion — the guest is offered a choice of billing currency at the moment of payment. Purely optional; the guest can decline and pay in CAD. An opportunity worth exploring given the international guest share.

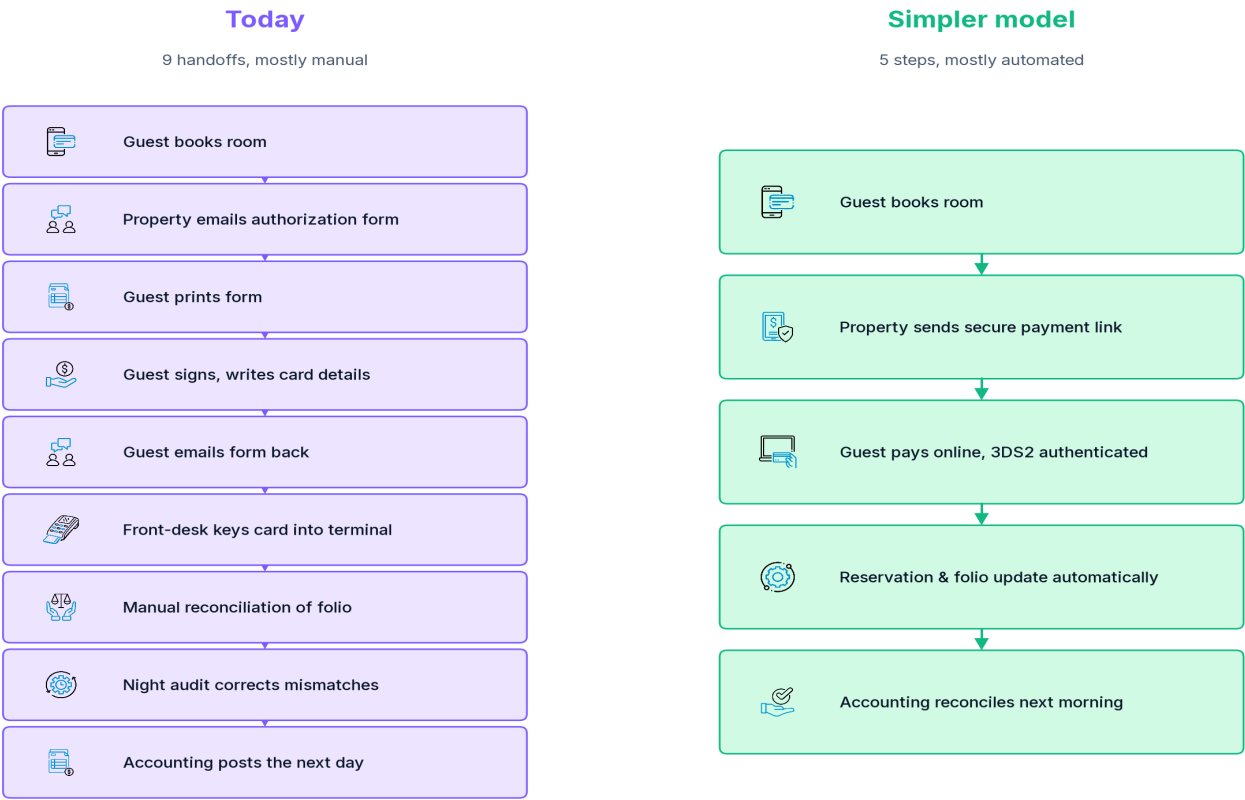
APPLIES TO YOUR BUSINESS **LIKELY**

channel mix confirmed; DCC eligibility varies by issuer.



The Payment Journey

The same guest transaction, viewed as a step-by-step journey. Today, and under a simpler model.

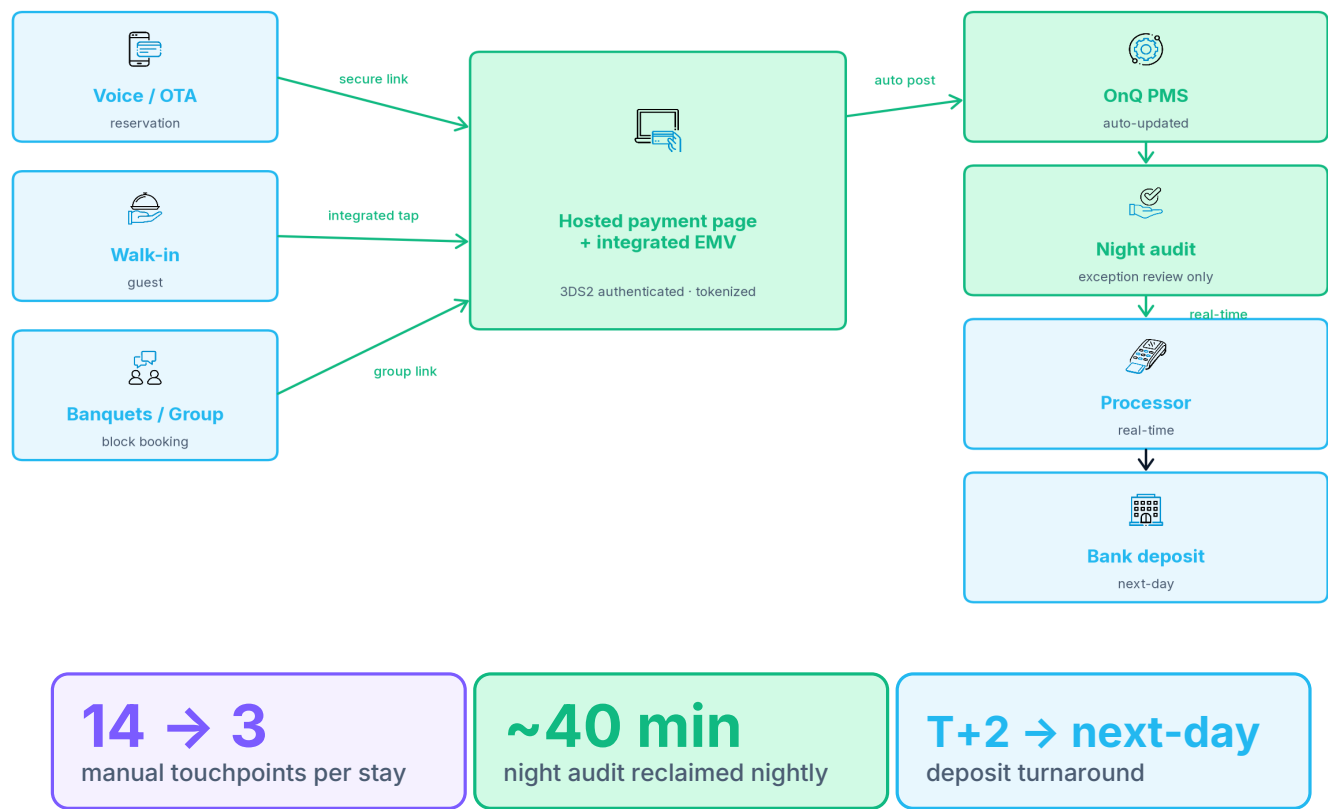


Nine handoffs collapse to five. The four handoffs that disappear are the paper form, the printing, the physical signature, and the manual card keying. What is left is a booking, a payment, and two automatic system updates.



Suggested Payment Flow

Guests enter cards themselves before arrival. Terminals talk to the property management system. Night audit becomes a review job.



Areas Worth Discussing

Operational topics that came up during the review, worth a follow-up conversation.



Operations

How the back-of-house payment work actually flows

Payment Visibility

How much of card activity you can see live vs. next morning during audit.

Accounting Workflow

The path from card capture to folio to daily deposit to accounting.

Reporting

What reports you rely on daily, weekly, monthly — and what you wish you had.



Guest

Everything the guest sees and touches at a payment moment

Guest Experience

What the guest sees at each payment moment, and whether it feels branded.

Foreign Guests

How international cards are handled today and whether currency choice is offered.



Risk & Handling

How remote and disputed payments are secured

Remote Payments

How advance deposits, group blocks, and no-show fees are captured today.

Chargeback Reduction

How disputes are handled today and where authentication could reduce workload.

Questions We Didn't Have Info For

- ◇ Total annual card volume across all revenue centers
- ◇ Chargeback loss dollar figure for the last 12 months
- ◇ Group deposit cancellation rate
- ◇ Foreign-card share by revenue center
- ◇ Current statement structure — bundled, tiered, or interchange-plus
- ◇ Contract end dates — front desk terminals, F&B, gateway agreement

Kobra's Notes

Property has strong operations discipline, but payments are 10 years behind. Once the remote-payment flow moves to hosted pages and the terminals integrate with the property management system, night audit workload drops meaningfully and dispute losses fall from a "cost of doing business" line to a rare event. Sequencing matters — the remote-payment flow first, then terminal integration, then a rate conversation.



Business Payment Consultant Notes

A note from Kobra on how to read this review.

Kobra prepared this review using the information available during your assessment. The goal is not to recommend changing providers or purchasing specific products. The purpose is to help visualize how payments currently move through your business and identify operational areas that may deserve further review.

If you'd like, a NapaPay Business Payment Consultant can review these findings with you and discuss practical ways to simplify payment operations.

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